

# Decision-making guide

STP

## Table of Contents

|                                                  |          |
|--------------------------------------------------|----------|
| <b>1. Simulation platform introduction .....</b> | <b>2</b> |
| 1.1 Game Arena .....                             | 2        |
| 1.2 Readings.....                                | 2        |
| 1.3 Forum .....                                  | 3        |
| 1.4 Main Objective & Winning Criteria .....      | 4        |
| 1.5 Successful decision-making flow.....         | 4        |
| <b>2. Game Arena .....</b>                       | <b>5</b> |
| 2.1 Introduction .....                           | 5        |
| 2.2 Food for Thought .....                       | 5        |
| 2.3 Market .....                                 | 6        |
| 2.4 Information Search .....                     | 6        |
| 2.5 Phase 1.....                                 | 7        |
| 2.6 Phase 2 and Phase 3 .....                    | 7        |
| 2.7 Decision checklist .....                     | 9        |
| 2.8 Report .....                                 | 10       |
| 2.9 Synopsis .....                               | 12       |

## 1. Simulation platform introduction

### 1.1 Game Arena

The gaming arena interface comprises various decision tabs that includes market, , the Decision checklist, Report, and Synopsis. Some sections must be completed first as they have an impact on other areas.

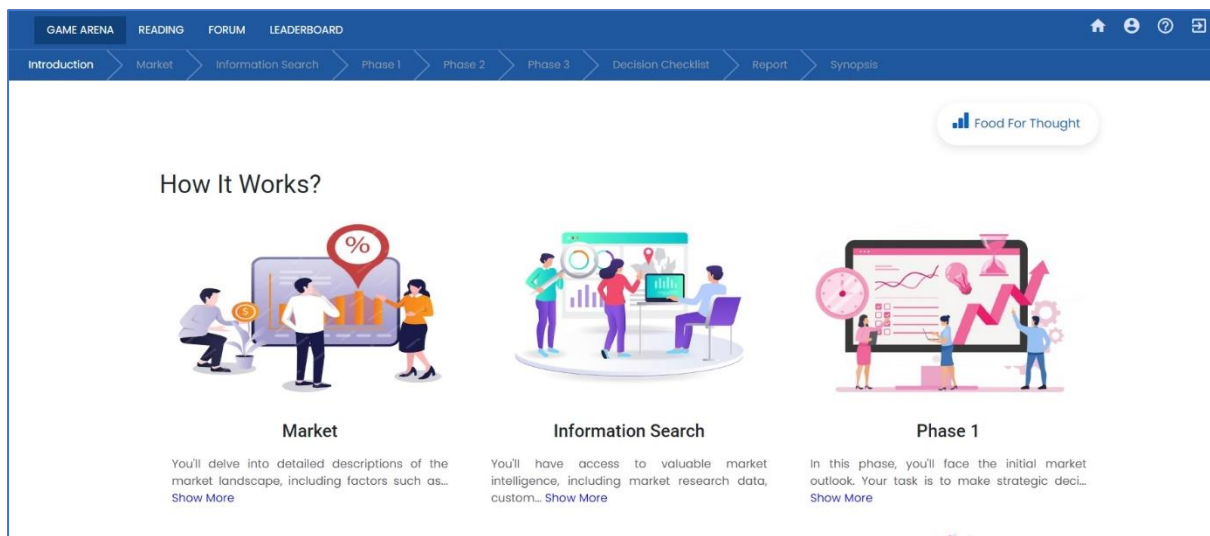
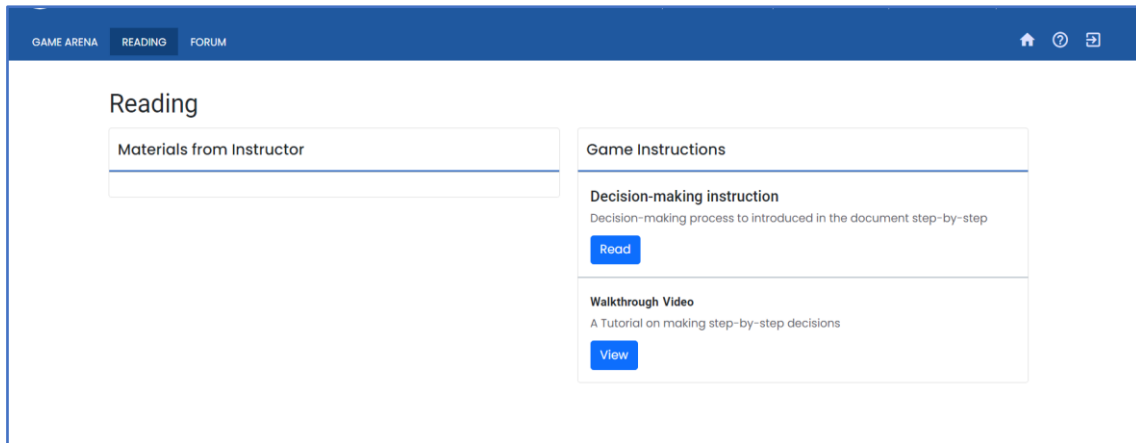


Figure 1 Game Arena

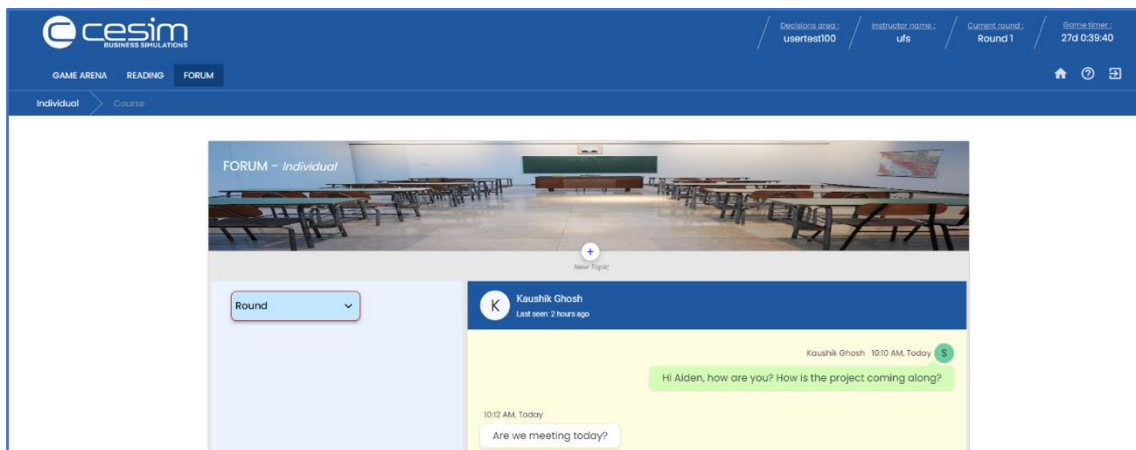
### 1.2 Readings

This section provides essential materials necessary for participants to actively engage in the game. The main reading material consists of a guide for decision-making, supplemented by optional additional resources chosen by instructors. Moreover, a walkthrough video is accessible, offering in-depth information about the scenario featured in the simulation. This video presents insights into the industry, ongoing trends, obstacles, and the diverse array of decisions required.



*Figure 2 The Reading Section*

### 1.3 Forum



*Figure 3 The Forum Section*

- The forums provide an excellent platform for participants to engage with their instructors or peers.
- There are two separate forums: the Individual Forum and the Course Forum. The Individual Forum allows participants to communicate directly with the instructor, while the Course Forum is accessible to all enrolled players.
- Instructors can view and respond to posts in both sections. Consequently, the Course Forum is an appropriate space for asking questions that can benefit the entire course, while the Individual Forum is the preferred channel for the individual to have a direct discussion with the professor.
- Participants will receive notifications for messages.

## 1.4 Main Objective & Winning Criteria

In the vibrant and competitive Indian smartphone market, **TechCom (TC)** is set to make its debut with a substantial fund of **INR 500 Mn**, aiming to carve out a unique identity. With diverse consumer preferences, TechCom's challenge lies in addressing the needs of four distinct market segments:

1. **Price-Conscious:** Prioritize affordability without compromising core functionality.
2. **Trendy:** Cater to style-conscious users seeking modern, visually appealing devices.
3. **Socially Conscious:** Emphasize sustainability, eco-friendly practices, and ethical manufacturing.
4. **Tech-Savvy:** Deliver cutting-edge technology and superior performance to enthusiasts.

Competing with five established brands, TechCom's strategic decisions in product design, pricing, marketing, distribution, and sustainability will shape its future in this demanding landscape. Each decision is an opportunity to resonate with consumer needs and stand out in a crowded market. With thoughtful positioning and execution, TechCom has the potential to become a trusted and recognized name across India. The goal of the simulation is to improve the market share.

## 1.5 Successful decision-making flow

The sequence of decision-making unfolds as follows:

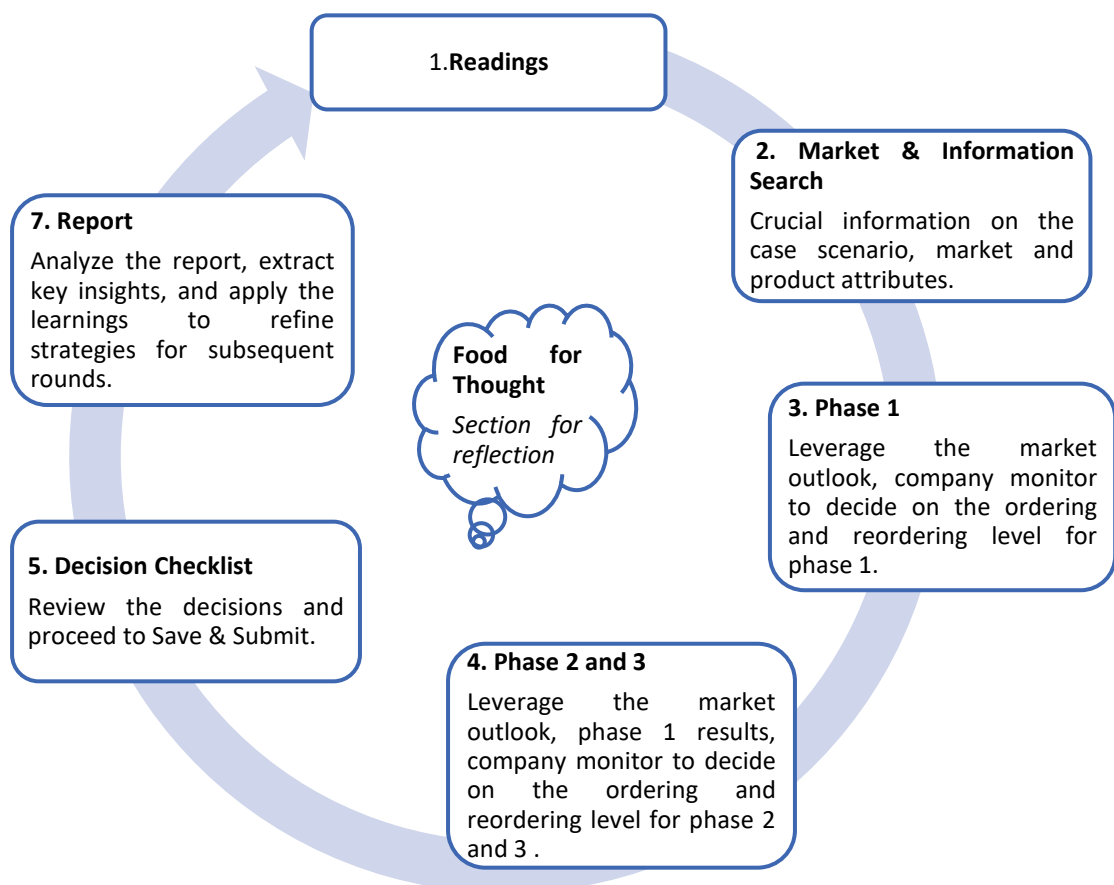


Figure 4 The Sequence of Decision-Making Process

## 2. Game Arena

### 2.1 Introduction

This page encompasses information detailing the functioning of the simulation and provides insights into each tab's decision-making.

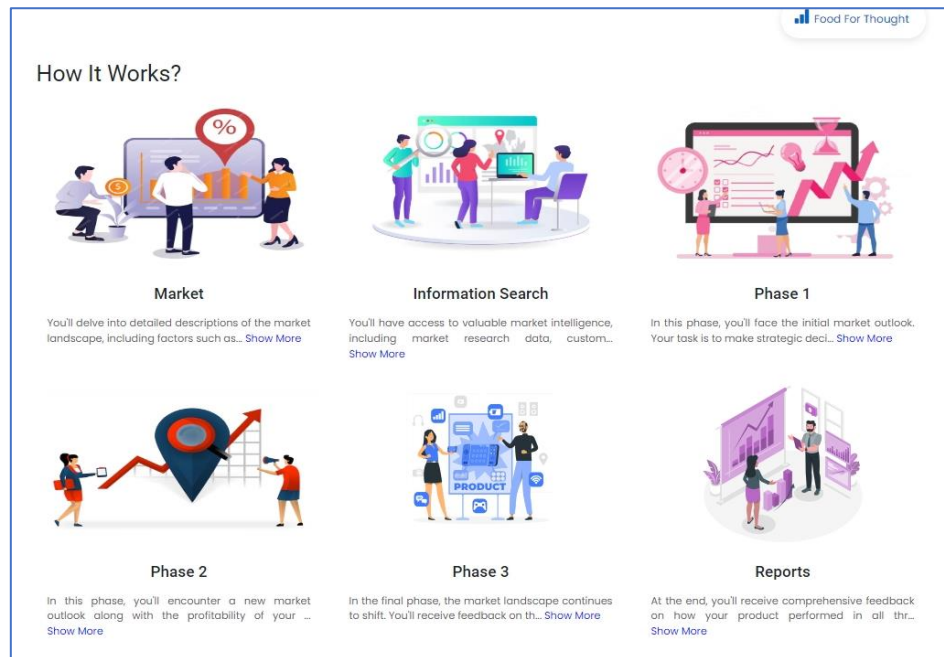


Figure 5 The Introduction Tab

### 2.2 Food for Thought

This segment provides crucial aspects to consider, offering valuable insights for decision-making.

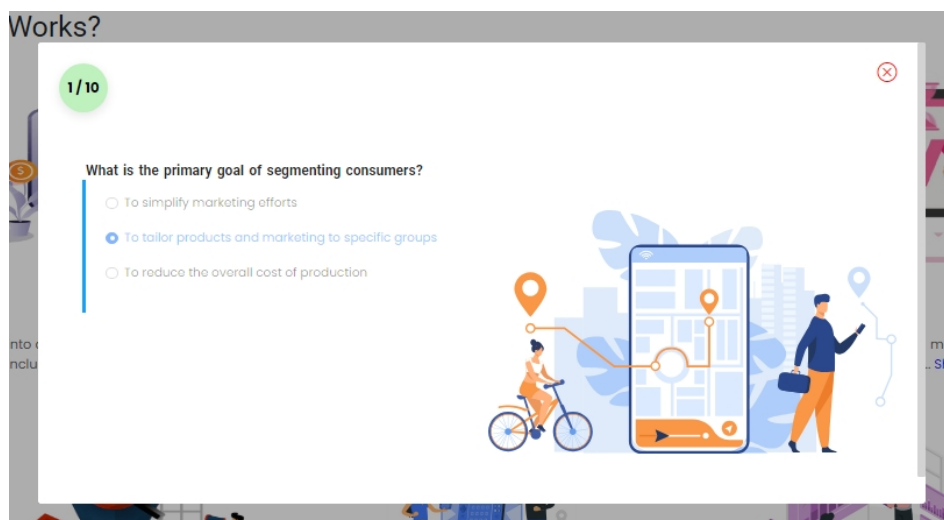


Figure 6 The food for Thought section

## 2.3 Market

Prior to commencing the decision-making process, it is essential to carefully examine the "Market" section. This section offers vital information on case scenario, industry overview and the key parameters to consider when making decisions in each tab.



Figure 7 Market Tab

## 2.4 Information Search

Under the **Information Search** tab, detailed insights are provided into customer preferences across segments, highlighting their priorities for product attributes. Additionally, comprehensive data on market size, price elasticity, and channel preferences is included, offering a clearer perspective for strategic planning.

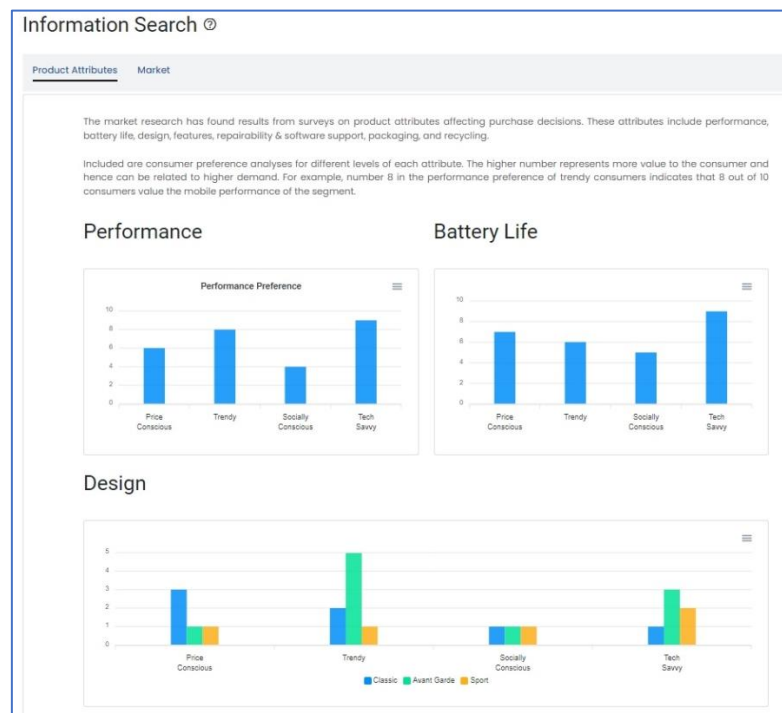


Figure 8 The Information Search Tab

## 2.5 Phase 1

Armed with data from the market and the Information Search section, participants are tasked with making decisions in five key areas:

1. **Product Launch:** Decide on product attributes, design, and project the expected sales units.
2. **Promotion & Packaging:** Allocate the promotion budget and select the most effective strategies.
3. **Repairability and Services:** Determine the level of repairability and service options to offer.
4. **Recycling:** Decide on the implementation of recycling initiatives.
5. **Channels:** Select and prioritize the most appropriate distribution channels.

### Outlook ②

As the global economy rebounds, the mobile phone market in India shows signs of improvement. Despite the anticipated recovery, companies are cautious due to slim profit margins, and excessive marketing expenditure could quickly erode profitability. The tech-savvy segment takes the lead, fueled by their technological interest, growing disposable income, and regional advancements in mobile technology. The trendy segment will experience modest growth as mobile phones become status symbols in popular culture. The price-conscious and socially conscious segments are expected to experience smaller growth rates due to lingering economic concerns and an emphasis on ethical considerations, respectively.

|                                                        |                                                       |
|--------------------------------------------------------|-------------------------------------------------------|
| Production line cost, per product, Mn INR<br><b>50</b> | Administration cost, per product, Mn INR<br><b>20</b> |
| Market Research Report, Mn INR<br><b>5</b>             |                                                       |

### Product ②

**TC P1**

Launch ☒

Design Classic ▾

Premium Camera

Extra Memory

Premium Display

Durable Screen

Securtiy

**TC P2**

Launch ☐

Design Select optior ▾

Premium Camera

Extra Memory

Premium Display

Durable Screen

Securtiy

*Figure 9 Phase 1 Decision Area*

## 2.6 Phase 2 and Phase 3

In Phase 2 and 3, participants must make decisions across all five key areas, similar to Phase 1, with the goal of strategically positioning their product in the market. The Market Monitor section provides an overview of the financial highlights of the companies, along with the perceptual map and details on company sales and market share.

## Market Monitor ⑦

### Financial Statement, Mn INR, Phase 2

|                                    | TC    | TG     | IT     | NG     | ST    | EM    |
|------------------------------------|-------|--------|--------|--------|-------|-------|
| Revenue                            | 2,305 | 16,848 | 14,219 | 12,027 | 5,199 | 6,307 |
| Variable Cost                      | 1,202 | 7,787  | 7,812  | 7,083  | 4,290 | 4,150 |
| Gross Profit                       | 1,103 | 9,061  | 6,407  | 4,944  | 910   | 2,157 |
| Production Line Cost + Update Cost | 0     | 0      | 40     | 20     | 20    | 0     |
| Administration Cost                | 20    | 40     | 40     | 40     | 20    | 20    |
| Market Research Cost               | 5     | 5      | 5      | 5      | 5     | 5     |
| Promotion Cost                     | 200   | 250    | 300    | 190    | 220   | 120   |
| Channel Cost                       | 215   | 355    | 260    | 215    | 235   | 95    |
| Packaging Cost                     | 23    | 0      | 0      | 0      | 0     | 0     |
| Recycling Cost                     | 0     | 110    | 50     | 110    | 50    | 70    |
| Repairability Cost                 | 60    | 60     | 60     | 20     | 20    | 160   |
| Operating Profit/Loss              | 580   | 8,241  | 5,852  | 4,344  | 340   | 1,667 |

### Perceptual Map, Phase 2 ⑦



### Company Sales & Share, Phase 2



Figure 10 The Market Monitor available in the decision area



## 2.7 Decision checklist

The Decision Checklist helps participants review and adjust their decisions before the deadline. Once decisions are confirmed, they can submit them using the "Submit" option and choose **save and proceed**. It's important to remember that once decisions are submitted and saved, they cannot be changed for that round. This ensures that decisions are carefully considered before finalization, promoting clarity and accountability in the decision-making process.

### Decision Checklist

Round 2 ▼

Ab

---

**Phase 1**

|                           |                 |
|---------------------------|-----------------|
| Product 1 Launch          | Yes             |
| Design                    | Classic         |
| Performance               | 50              |
| Battery Life              | 40              |
| Premium Camera            | Implemented     |
| Extra Memory              | Not Implemented |
| Premium Display           | Not Implemented |
| Durable Screen            | Not Implemented |
| Security                  | Not Implemented |
| Projected Sales, Mn units | 1               |
| Price, INR                | 10,000          |
| Product 2 Launch          | No              |
| Design                    | -               |
| Performance               | -               |
| Battery Life              | -               |
| Premium Camera            | Not Implemented |
| Extra Memory              | Not Implemented |
| Premium Display           | Not Implemented |
| Durable Screen            | Not Implemented |
| Security                  | Not Implemented |

Help
✕

"You are submitting your decisions as the final decision. Do you want to save and proceed with reports?"

Close
Save & Proceed

Figure 11 The Decision Checklist

## 2.8 Report

The report section provides the details on the participants' critical thinking abilities in each aspect. This section provides feedback on their thought process regarding the "Food for Thought" sections across four metrics.



Figure 12 The Report Section

- **Rigour:** Consistency throughout the decision-making and recommendation.
- **Structuring:** Logical approach of gathering and analysing information
- **Synthesis:** Approach towards interpreting information and making informed decisions
- **Business Judgement:** Ability to evaluate facts, and consider risks and possible implications when making decisions.

This section provides detailed financial statements for each company. Analyzing these statements will help you evaluate how effectively your decisions have impacted various KPIs and understand your company's position relative to competitors.

| Financial Statement, Mn INR, Phase 3 |       |        |        |        |       |       |
|--------------------------------------|-------|--------|--------|--------|-------|-------|
|                                      | TC    | TG     | IT     | NG     | ST    | EM    |
| Revenue                              | 2,771 | 25,668 | 13,456 | 13,395 | 6,136 | 7,303 |
| Variable Cost                        | 1,902 | 16,042 | 9,330  | 8,562  | 6,114 | 3,707 |
| Gross Profit                         | 869   | 9,627  | 4,126  | 4,833  | 22    | 3,596 |
| Production Line Cost + Update Cost   | 20    | 20     | 0      | 0      | 0     | 20    |
| Administration Cost                  | 20    | 40     | 40     | 40     | 20    | 20    |
| Market Research Cost                 | 5     | 5      | 5      | 5      | 5     | 5     |
| Promotion Cost                       | 300   | 400    | 390    | 250    | 300   | 240   |
| Channel Cost                         | 95    | 355    | 260    | 215    | 235   | 95    |
| Packaging Cost                       | 19    | 114    | 71     | 62     | 39    | 41    |
| Recycling Cost                       | 120   | 120    | 120    | 120    | 120   | 120   |
| Repairability Cost                   | 160   | 160    | 160    | 160    | 160   | 160   |
| Operating Profit/Loss                | 284   | 8,413  | 3,080  | 3,981  | -857  | 2,895 |

Figure 13 The Report Section

This section of the report presents the sales and market share achieved by each company throughout the decision phases.



Figure 14 The Report Section

This section of the report highlights the market share captured by each product across various companies, along with the operating margin of each company.



Figure 15 The Report Section showing the KPI

The KPI section highlights how effectively participants have improved key performance indicators. Participants should aim to achieve a higher market share while maintaining or improving the operating margin.

## 2.9 Synopsis

The synopsis section offers a concise summary of key decision areas and outcomes, highlighting critical insights including the KPI achieved and strategic directions taken during the simulation, facilitating comprehensive understanding and future planning.

| Synopsis                  |                 |
|---------------------------|-----------------|
| Decisions                 |                 |
| Parameters                | input           |
| Phase 1                   |                 |
| Product 1 Launch          | Yes             |
| Design                    | Classic         |
| Performance               | 50              |
| Battery Life              | 40              |
| Premium Camera            | Implemented     |
| Extra Memory              | Not implemented |
| Premium Display           | Not implemented |
| Durable Screen            | Not implemented |
| Security                  | Not implemented |
| Projected Sales, Mn units | 1               |
| Price, INR                | 10,000          |

| Company Sales & Market Share, Phase 3 |                 |              |
|---------------------------------------|-----------------|--------------|
| Parameter                             | Sales, Mn units | Market Share |
| TC                                    | 0.28            | 6%           |
| TG                                    | 1.14            | 27%          |
| IT                                    | 1.02            | 24%          |
| NG                                    | 0.88            | 21%          |
| ST                                    | 0.56            | 13%          |
| EM                                    | 0.41            | 9%           |

| Company Market Share, Phase 1 to 3 |         |         |         |
|------------------------------------|---------|---------|---------|
| Parameter                          | Phase 1 | Phase 2 | Phase 3 |
| TC                                 | 3%      | 5%      | 6%      |
| TG                                 | 35%     | 5%      | 27%     |

|                           |                                           |
|---------------------------|-------------------------------------------|
| Projected Sales, Mn units | 1                                         |
| Price, INR                | 10,000                                    |
| Product 2 Launch          | No                                        |
| Design                    | -                                         |
| Performance               | -                                         |
| Battery Life              | -                                         |
| Premium Camera            | Not implemented                           |
| Extra Memory              | Not implemented                           |
| Premium Display           | Not implemented                           |
| Durable Screen            | Not implemented                           |
| Security                  | Not implemented                           |
| Projected Sales, Mn unit  | -                                         |
| Price, INR                | -                                         |
| Promotion, Mn INR         | 200                                       |
| Packaging                 | Product Specific Packaging                |
| Repairability & Services  | Mediocre Repairability & Software Support |

| KPI                           |        |
|-------------------------------|--------|
| Parameter                     | Output |
| Market Share                  | 940%   |
| Revenue, Mn INR               | 6,035  |
| Operating Profit/Loss, Mn INR | 663    |
| Operating Margin              | 11%    |

| Thinking Ability |       |
|------------------|-------|
| Parameter        | Score |
| Positioning      | 60%   |

Round 2

Figure 16 The Synopsis Section

To proceed to the next iteration, follow these steps:

1. Navigate to the end of the synopsis page to locate the link for the next round.
2. Click on the 'Round' to advance to the next round.
3. You will be redirected to the home page.
4. Click on the card to begin the next round.